itself virtually insures that it will be implemented. It is crucial to understand, though, that the government cannot *prevent* bankruptcy. All it can do is transfer the *cost* of bankruptcies from the investors in those businesses *to all people who are holding assets denominated in dollars*. From welfare to the FDIC to the minimum wage, it is extremely difficult to name a single government program designed to help people that has failed to bring about precisely the opposite result of what was intended. The Monetary Control Act is no exception; it will bring about monetary chaos. The initial response of the bond market to monetization might be positive, but any rally would be short-lived, lasting only until it becomes understood that the printing presses will not stop rolling. Currency inflation in a credit-poor economy has *never* been restrained. If it merely begins, it will assuredly lead to hyperinflation. The ultimate result will be the destruction of any value remaining in bonds and the wipe-out of all dollar-denominated paper assets. Thus, while many bonds will become worthless first, there is a fairly good chance that the dollar itself will become worthless thereafter. With the potential duration of the Grand Supercycle bear market as long as a century, however, it may be a long time before this final monetary event takes place or is concluded.

Investors today face the terrible task of dealing with the deflation of the biggest credit bubble in world history, which is quite enough to be concerned about for the time being. Perhaps the analysis in this chapter will give you an overall view of the tropical forest as it is hit by the hurricane. Most people will be in the middle of it, frantically dodging the falling trees.